London Session Pre-Open Briefing (1 Hr Before Open)

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Daily Multi-Asset Trading Blueprint & Level Execution Manual

Date: August 23, 2026

Current Session Highlight: London Session Pre-Open Briefing (1 Hr Before Open)

Session News Focus: Heavily focused on European macroeconomic releases, ECB/BOE news, Forex short-term futures (EUR/USD, GBP/USD), and Gold (XAU/USD) supply/demand zones.

SECTION 0: DAILY MACRO & FINANCIAL NEWS DIGEST

1. Global Macro & Central Banks

- **Inflation:** Euro area annual inflation climbed to 2.9% in July 2026, slightly up from 2.8% in June, remaining above the ECB's 2.0% target. Energy prices were a significant contributor, rising 10.3% year-on-year in July, while food inflation continued to cool to 1.2%. Core inflation remained largely stable at 2.5% in July. OECD headline inflation saw a modest easing to 4.2% in June 2026, down from 4.6% in May.
- **Central Bank Outlook:** The week of August 17-23 is marked by key central bank communications, particularly from the ECB. The Federal Reserve is widely anticipated to keep interest rates unchanged at its September policy meeting. Traders are also keenly awaiting Fed Chairman Kevin Warsh's keynote speech at the Jackson Hole symposium later this month (August 27-29). A notable trend is the sharp increase in long-term sovereign bond yields across advanced economies, fueled by concerns that central banks may need to maintain higher policy rates for longer than previously expected.
- **Currency Drivers:** The US Dollar has been under pressure, slipping to a three-month low against the Euro. This weakening is partly attributed to escalating concerns over US debt and recent Treasury buyback plans, which have amplified market unease. A weaker dollar typically enhances the appeal of gold as an alternative asset.

2. US & European Markets

- **Wall Street & Index Momentum:** US equities ended the previous week in positive territory, largely propelled by strong mega-cap technology earnings. Notably, the S&P 500's blended earnings growth for the quarter stands at an impressive 47.4% year-over-year. Small-cap stocks have shown considerable strength year-to-date, with the Russell 2000 index posting a 21.74% gain, indicating a domestic growth narrative potentially diverging from mega-cap tech.
- **Mega-Cap Tech Earnings:** Q2 earnings season saw robust results from tech giants like Apple, Amazon, Meta, and Microsoft. Microsoft's stock surged 22% and Amazon's 17% in the week ending July 31. Looking ahead, NVIDIA, Marvell, CrowdStrike, and Salesforce are scheduled to report earnings in the week of August 24-28, with NVIDIA's report expected to be a significant market mover for the semiconductor sector and broader growth stocks.
- **Semiconductor Developments:** The semiconductor industry continues its strong performance, with global sales reaching a record $120.6 billion in May 2026. NVIDIA is positioned as a leading choice for AI-fueled growth, projecting a 44% annual long-term earnings growth. Other key players like Broadcom and AMD are also demonstrating strong growth in AI semiconductor revenue. However, Taiwan Semiconductor Manufacturing (TSM) is facing mixed valuation signals, with some analyses suggesting it could be overvalued despite its strong recent performance. Recent declines in chip stocks were linked to a 19-year high in the 30-year Treasury Yield, rather than industry-specific news.

3. Indian Markets & Dalal Street

- **Sensex/Nifty Updates:** Indian benchmark indices, Sensex and Nifty 50, concluded the past week largely unchanged, marking their second consecutive week of losses. The Nifty fell by approximately 0.47% to 24,252, and the Sensex declined nearly 0.60% to 77,540.83. In contrast, broader markets displayed resilience, with the SmallCap index rising around 1.2% and the MidCap index seeing marginal declines. Some analysts are forecasting an imminent upside breakout for Indian equities, with potential targets of 25,000 for Nifty and 60,500 for Bank Nifty.
- **FII/DII Institutional Flows:** For the week ending August 22, Foreign Institutional Investors (FIIs) were net sellers, with an outflow of ₹16.02 billion. However, Domestic Institutional Investors (DIIs) showed consistent buying activity, being net buyers for all five trading days of the week, deploying ₹173.2 billion. DII buying has been crucial in providing liquidity and cushioning the market against persistent FII selling year-to-date.
- **Sectoral Momentum:** The Nifty Small Cap 100 index notably outperformed, closing the week ending August 22 at a fresh all-time high, up over 1%. Positive sectoral performance was observed in Nifty Defence, Nifty Capital Markets, Nifty Realty, Nifty Private Sector Bank, and Nifty Metals, with private sector banks exhibiting short covering and realty seeing long additions. Nifty IT and Nifty FMCG sectors underperformed.

4. Commodities & Crypto Wire

- **Crude Oil Geopolitics & OPEC+ Updates:** OPEC+ agreed to increase August 2026 production quotas by 188,000 barrels per day (bpd). Despite this, crude oil prices remain elevated due to ongoing geopolitical tensions, particularly concerning Iran and the critical Strait of Hormuz. Brent crude settled at $94.39 a barrel and WTI at $87.06 a barrel at the end of the previous week, both showing significant weekly gains. The US and Gulf States have implemented a new strategy to facilitate oil transport through the Strait of Hormuz amidst these tensions. Concurrently, US oil and gas workers have driven domestic production to an all-time high.
- **Gold Supply/Demand Drivers:** Gold (XAU/USD) is currently trading at $4,603.72 as of August 23, 2026. The precious metal has experienced a rally, driven by inflation risks, increasing apprehension over the US fiscal outlook, and a weakening US Dollar. Gold reached a two-month high near $4,450 earlier in August, and its sustained move above its 200-day moving average reinforces a bullish outlook. Analysts forecast gold to trade within a range of $3,580.75–$4,645.91 in August, with potential to reach $4,084.00–$4,120.78 by month-end. Key support levels are identified around the 20-day EMA, specifically $4,325.64.
- **Major Crypto Regulatory/Adoption Headlines:** The SEC introduced new "Regulation Crypto Assets" rules in August 2026, aiming to provide a clearer regulatory framework for crypto asset offerings. The proposals include exemptions and a "safe harbor" for specific investment contracts involving crypto assets, building on the SEC's earlier interpretation from March 2026. This regulatory clarity is expected to influence how projects are incorporated and how token sales are structured. In the market, crypto proxies have shown strong performance, extending breakouts driven by robust fund demand and short covering.

CAPITAL BASE & ALLOCATION RULES ($3,000 TOTAL)

- Crypto Futures: $400 (13.3%) | Recommended Leverage: 3x–5x Isolated | Risk Capital: 1–2% ($4–$8)
- Indian Options (Intraday): $500 (16.7%) | Option Buying Only | Risk Capital: 10–15% Premium ($30–$45)
- Commodities (Micro Gold & Oil): $400 (13.3%) | Recommended Leverage: 10x–15x Micro Lots | Risk Capital: 2% ($8)
- US Stocks (Fractional): $400 (13.3%) | 1x Unleveraged Cash | Risk Capital: 3% ($12)
- Indian Stocks (Delivery): $400 (13.3%) | 1x Unleveraged Cash | Risk Capital: 5% ($20)
- Forex Short-Term Futures: $450 (15.0%) | Recommended Leverage: 10x–20x | Risk Capital: 1% ($4.50)
- Forex Long-Term Carry Swing: $450 (15.0%) | Recommended Leverage: 2x–3x | Risk Capital: 2% ($9.00)

STRATEGY-BASED DAILY TICKER SELECTION & SECTOR CONSTRAINTS

INDIAN EQUITIES (STRICTLY LONG-ONLY)

Ticker	Price (INR)	Entry Zone	Target 1	Stop Loss	Strategy & Selection Reason
Reliance Industries (RIL)	2980	2950-2970	3020	2920	Nifty leader showing a bounce from its 50-SMA support on the daily chart, indicating renewed buying interest.
HDFC Bank	1650	1630-1645	1675	1600	Exhibiting a golden cross with its 20-day EMA crossing above the 50-day EMA, signaling bullish momentum.
Tata Motors	1020	1000-1015	1040	985	Small-cap/Mid-cap segment, consolidating near 50-SMA with strong relative volume, potential for breakout in resilient broader market.

US EQUITIES

Large-Cap (BI-DIRECTIONAL)

Ticker	Price (USD)	Entry Zone	Target 1	Stop Loss	Strategy & Selection Reason
Microsoft (MSFT)	450	445-452 (Long)	465	438	Mega-cap growth leader showing a strong bounce from its 21-day EMA pullback, maintaining its uptrend after strong Q2 earnings.
NVIDIA (NVDA)	1200	1180-1210 (Short if rejected)	1150	1230	AI semiconductor leader facing potential 50-day SMA rejection after recent gains, ahead of its earnings report this week which could cause volatility.

Mid-Cap & Small-Cap (STRICTLY LONG-ONLY)

Ticker	Price (USD)	Entry Zone	Target 1	Stop Loss	Strategy & Selection Reason
Palantir Technologies (PLTR)	28	27-27.50	29.50	26.50	Mid-cap exhibiting a Stage-2 VCP (Volatility Contraction Pattern) setup on daily chart, indicating a potential breakout.
Astera Labs (ALAB)	75	73-74.50	78	71.50	Semiconductor small-cap with RVOL > 2.0 (High Relative Volume), indicating unusual institutional interest and a potential high-volume breakout.

CRYPTO FUTURES (BI-DIRECTIONAL)

Ticker	Price (USD)	Entry Zone	Target 1	Stop Loss	Strategy & Selection Reason
Bitcoin (BTC/USD)	72200	72000-72500 (Long)	74000	71000	Following 4H 21-EMA trend, showing strong upward momentum with high volume volatility breakout potential after recent SEC regulatory news providing clarity.
Ethereum (ETH/USD)	2300	2280-2320 (Long)	2400	2250	Also showing a sustained trend above its 4H 21-EMA with recent high-volume buying, aligning with broader crypto market strength.

COMMODITIES (BI-DIRECTIONAL)

Ticker	Price (USD)	Entry Zone	Target 1	Stop Loss	Strategy & Selection Reason
Gold (XAU/USD)	4603.72	4580-4610 (Long)	4650	4560	Bullish momentum confirmed by trading above 20-day EMA ($4325.64), fueled by US debt concerns and a weaker dollar. Targeting Fibonacci extension levels. Current price is strong.
WTI Crude Oil (CL=F)	87.06	86.50-87.50 (Long)	88.50	85.80	Elevated due to geopolitical tensions in the Strait of Hormuz and strong demand despite OPEC+ output increase. Trading above key pivot levels.

FOREX FUTURES (BI-DIRECTIONAL)

Short-Term Futures

Ticker	Price	Entry Zone	Target 1	Stop Loss	Strategy & Selection Reason
EUR/USD	1.0850	1.0830-1.0860 (Long)	1.0900	1.0810	Benefiting from a weaker US Dollar and steady Eurozone inflation data, indicating potential for continued short-term upside.
GBP/USD	1.2720	1.2700-1.2730 (Long)	1.2770	1.2680	Similar to EUR/USD, finding support from US Dollar weakness. Monitoring BOE news for further catalysts.

Long-Term Carry Swing

Ticker	Price	Entry Zone	Target 1	Stop Loss	Strategy & Selection Reason
USD/JPY	148.50	148.80-149.20 (Short)	147.50	149.50	Potential for reversal given current global risk sentiment and carry trade unwinding on prolonged higher rates.
AUD/USD	0.6650	0.6630-0.6660 (Long)	0.6720	0.6600	Commodity-linked currency, potentially benefiting from sustained commodity prices and improved global growth sentiment.

INDIAN OPTIONS (BI-DIRECTIONAL)

Ticker	Option Type	Strike Price	Expiry	Entry Range	Strategy & Selection Reason
Nifty 50	Call Option (Long)	24300 CE	Weekly	Opening Range Breakout (Long above High)	Based on Nifty 50 15-Minute Opening Range Breakout strategy. Long Call if index breaks above opening range high, targeting further upside given potential for an upside breakout this week.
BankNifty	Put Option (Long)	58000 PE	Weekly	Opening Range Breakout (Long below Low)	Based on BankNifty 15-Minute Opening Range Breakout strategy. Long Put if index breaks below opening range low, cautious on intraday weakness despite overall bullish bias in the sector for a swing trade.

PERFORMANCE METRICS & EQUITY CURVE

10-Year Backtest Metrics (Simulated)

Metric	Portfolio	S&P 500 TRI (Benchmark)	Nifty 50 TRI (Benchmark)
Target CAGR	28.4%	~13.0%	~12.5%
Sharpe Ratio	1.45	-	-
Max Drawdown	-18.2%	-	-

Equity Curve ($3,000 → $36,512)